

June 1, 2025 09:00 PM GMT

Greater China Technology Hardware | Asia Pacific

More AI server rack orders benefitting downstream Asia supply chain

What's new? Our supply chain checks are indicating that there are more GB200 rack orders coming through from a US CSP that is not one of the four hyperscalers. These orders will likely kick in from mid-3Q and last until the end of the year, based on the current forecast, and may extend into 2026 if there are more follow-on orders later on.

Stay OW on downstream AI ODMs: Our recent downstream supply chain checks had indicated that full year AI server rack shipments would be higher at 25-30k ([report here](#)), and with more orders coming through, we maintain our positive view on the downstream AI ODM/OEM space. For this particular project, we believe Wistron, Wiwynn, and Quanta will likely all see some benefits from this particular order. Our checks indicate that Wistron will likely be the supplier of Bianca boards, but Wiwynn will be the main external window for compute tray (L10), while Quanta will be handling rack assembly and testing (L11). As a result, we think this will likely bring 0-5% EPS upside to Wiwynn and Quanta. Our order of preference for downstream AI server OEM/ODMs is **Giga-Byte (Top Pick)**, followed by **Hon Hai, Quanta, Wistron, Wiwynn**.

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GREATER CHINA TECHNOLOGY HARDWARE	
Asia Pacific	In-Line
Industry View	

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Valuation Methodology and Risks

Hon Hai Precision (2317.TW)

Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 8.5%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected iPhone sell-through
- Faster progress in AI server business
- Faster EV business development progress
- Any new M&A activity that could improve sentiment

Risks to Downside

- Lower iPhone sell-through
- Smaller profit contribution from AI business
- Slower EV business development progress
- Geopolitical developments that could negatively affect foreign investment.

Giga-Byte Technology Co. Ltd. (2376.TW)

Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.2% (risk-free rate 1%, equity risk premium 6.0% and beta of 1.0), medium-term growth rate 6%, terminal growth rate 3%.

Risks to Upside

- Better-than-expected GPU demand
- Better-than-expected gaming motherboard demand
- Better-than-expected server demand from Tier 2/Tier 3 cloud customers
- Faster-than-expected AI server penetration rate

Risks to Downside

- Weaker-than-expected GPU demand
- Weaker-than-expected gaming motherboard demand
- Weaker-than-expected server demand from Tier 2/Tier 3 cloud customers
- Slower-than-expected AI server penetration rate

Quanta Computer Inc. (2382.TW)

Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), an 8.5% medium-term growth rate and a 3% terminal growth rate.

Risks to Upside

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand

- Faster-than-expected AI server penetration

Risks to Downside

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

Wistron Corporation (3231.TW)

Base case, residual income valuation. Key assumptions: 8.7% cost of equity, 7.0% medium-term growth rate and 3% terminal growth rate.

Risks to Upside

- Faster-than-expected divestiture of consumer electronics business
- Stronger-than-expected NB demand
- Margin expansion from better product mix
- Faster-than-expected AI server penetration

Risks to Downside

- Slower-than-expected divestiture of consumer electronics business
- Weaker-than-expected NB demand
- Margin contraction from sales shortfall and fierce competition
- Slower-than-expected AI server penetration

Wiwynn Corp (6669.TW)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.2% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), medium-term growth rate of 8% and terminal growth rate of 3%.

Risks to Upside

- Accelerated demand pull-in from Meta, Microsoft and Amazon
- Project wins from new customers
- Share gain
- Edge computing projects
- Accelerated AI server penetration

Risks to Downside

- Delayed data center builds from Meta, Microsoft and Amazon
- Server demand slowdown
- Share loss
- Delayed AI server penetration

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Global Stock Ratings Distribution

(as of May 31, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1493	40%	379	46%	25%	698	41%
Equal-weight/Hold	1650	44%	372	45%	23%	782	46%
Not-Rated/Hold	4	0%	0	0%	0%	2	0%
Underweight/Sell	602	16%	74	9%	12%	235	14%
Total	3,749		825			1717	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Giga-Byte Technology Co. Ltd. (2376.TW) - As of 06/01/25 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/20 : NA/I; 12/15/22 : O/I

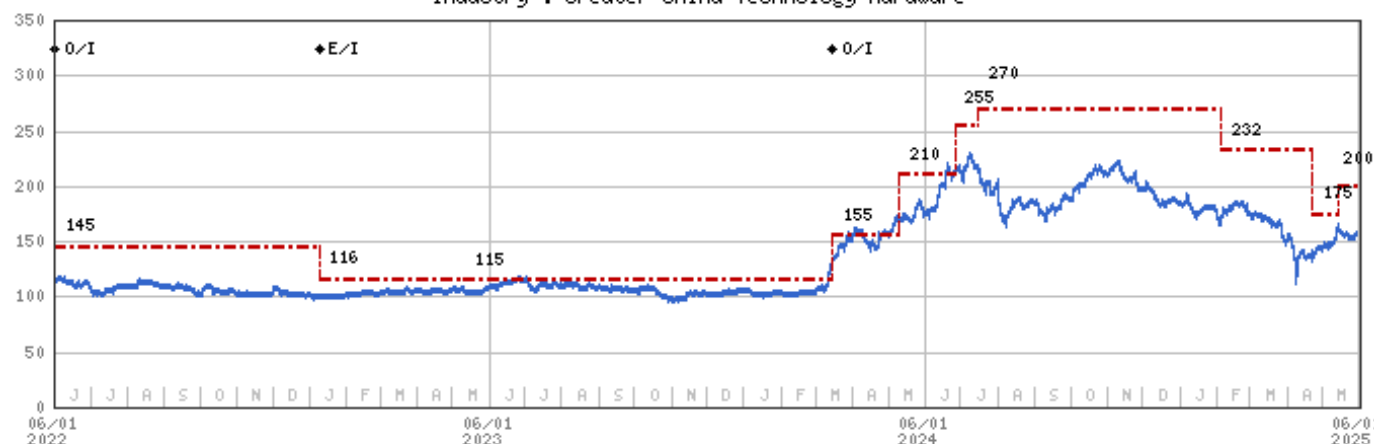
Price Target History: 12/15/22 : 130; 3/9/23 : 138; 5/16/23 : 158; 7/12/23 : 315; 8/10/23 : 340; 10/17/23 : 360; 11/6/23 : 320; 3/15/24 : 308; 4/10/24 : 400; 5/8/24 : 450; 8/14/24 : 388; 3/17/25 : 350; 4/23/25 : 255; 5/15/25 : 350

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Hon Hai Precision (2317.TW) - As of 06/01/25 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/20 : O/I; 1/9/23 : E/I; 3/15/24 : O/I

Price Target History: 3/20/20 : 95; 8/13/20 : 102; 1/6/21 : 130; 3/22/21 : 168; 3/8/22 : 145; 1/9/23 : 116; 5/11/23 : 115; 3/15/24 : 155; 5/10/24 : 210; 6/26/24 : 255; 7/15/24 : 270; 2/5/25 : 232; 4/23/25 : 175; 5/14/25 : 200

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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Quanta Computer Inc. (2382.TW) - As of 06/01/25 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/20 : 0/I; 7/28/21 : E/I; 5/1/23 : 0/I

Price Target History: 4/14/20 : 70.5; 8/5/20 : 79.5; 8/14/20 : 100; 11/13/20 : 95; 3/30/21 : 108; 5/13/21 : 110; 7/28/21 : 85; 11/12/21 : 94; 3/7/22 : 99; 3/16/22 : 98; 5/13/22 : 85; 7/26/22 : 80; 8/13/22 : 82.5; 5/1/23 : 105; 5/12/23 : 110; 7/12/23 : 215; 8/12/23 : 240; 10/17/23 : 280; 3/15/24 : 305; 5/15/24 : 340; 11/12/24 : 348; 11/14/24 : 370; 2/4/25 : 335; 2/28/25 : 315; 4/23/25 : 270; 5/13/25 : 310; 5/14/25 : 325; 5/27/25 : 335

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Wistron Corporation (3231.TW) - As of 06/01/25 GMT in TWD
Industry : Greater China Technology Hardware



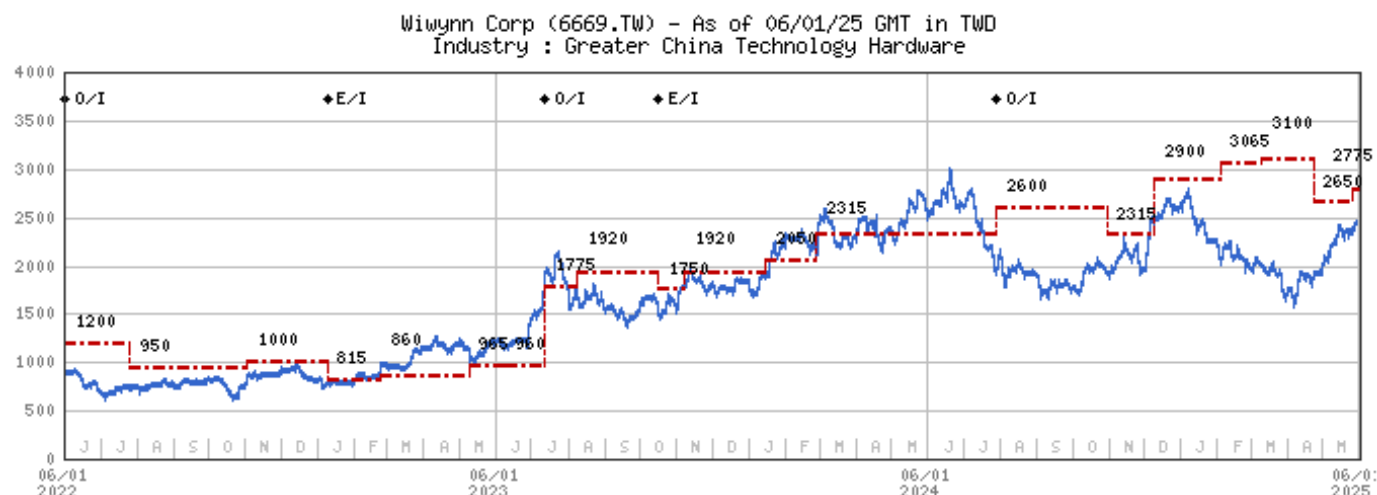
Stock Rating History: 6/1/20 : E/I; 7/12/23 : 0/I

Price Target History: 5/14/20 : 29; 7/20/20 : 40.5; 8/13/20 : 42.5; 1/4/21 : 31.5; 3/23/21 : 34; 7/28/21 : 30; 11/6/21 : 32; 5/9/22 : 31; 7/26/22 : 29; 8/8/22 : 30; 11/7/22 : 29; 1/17/23 : 31; 3/15/23 : 34; 5/1/23 : 48.5; 5/12/23 : 47; 7/12/23 : 135; 10/17/23 : 145; 1/18/24 : 136; 3/14/24 : 143; 4/1/24 : 158; 5/22/24 : 168; 10/30/24 : 150; 11/12/24 : 158; 4/23/25 : 125; 5/27/25 : 140

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Stock Rating History: 6/1/20 : O/I; 1/9/23 : E/I; 7/12/23 : O/I; 10/17/23 : E/I; 7/29/24 : O/I

Price Target History: 5/11/20 : 850; 7/9/20 : 960; 8/10/20 : 1000; 10/9/20 : 920; 11/10/20 : 960; 6/8/21 : 1035; 7/28/21 : 1060; 5/3/22 : 1200; 7/26/22 : 950; 11/2/22 : 1000; 1/9/23 : 815; 2/24/23 : 860; 5/9/23 : 965; 6/9/23 : 960; 7/12/23 : 1775; 8/9/23 : 1920; 10/17/23 : 1750; 11/8/23 : 1920; 1/15/24 : 2050; 2/27/24 : 2315; 7/29/24 : 2600; 10/30/24 : 2315; 12/10/24 : 2900; 2/3/25 : 3065; 3/10/25 : 3100; 4/23/25 : 2650; 5/27/25 : 2775

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/30/2025)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$36.45
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb41.20
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$31.15
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb9.45
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.24
Eoptolink Technology Inc Ltd (300502.SZ)	O (05/20/2025)	Rmb88.27
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$393.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.04
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb28.13
Largan Precision (3008.TW)	O (03/31/2025)	NT\$2,315.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.27
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb11.75
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$6.50
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb70.85
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb72.69
Sunny Optical (2382.HK)	E (03/31/2025)	HK\$60.40
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (10/09/2024)	Rmb81.70
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb33.96
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$50.95
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb31.97
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$15.18
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb83.70
YuTong Optical Technology Co Ltd (300790.SZ)	E (04/05/2022)	Rmb19.82
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb18.18
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb93.55
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$22.00
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb31.09
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$745.00

Advantech (2395.TW)	O (01/20/2021)	NT\$342.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$933.00
AU Optronics (2409.TW)	E (09/15/2024)	NT\$12.85
Bizlink (3665.TW)	O (03/10/2025)	NT\$645.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb3.80
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$5.73
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$335.50
E Ink Holdings Inc. (8069.TWO)	E (05/08/2025)	NT\$212.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$35.25
GIS Holding Limited (6456.TW)	E (05/06/2023)	NT\$46.80
Hiwin Technologies Corp. (2049.TW)	U (05/12/2025)	NT\$224.50
Innolux (3481.TW)	E (04/07/2025)	NT\$12.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$2,050.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb20.27
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$147.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb12.43
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.28
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.22
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb57.12
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$34.70
Asustek Computer Inc. (2357.TW)	E (04/23/2025)	NT\$625.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$28.80
Giga-Byte Technology Co. Ltd. (2376.TW)	O (12/15/2022)	NT\$276.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$260.00
Guangdong Fenghua Adv. Tech. (Hldg) Co (000636.SZ)	E (05/12/2021)	Rmb13.36
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb48.95
Lenovo (0992.HK)	O (02/05/2025)	HK\$9.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,315.00
Nan Ya PCB (8046.TW)	U (12/21/2022)	NT\$105.00
Pegatron Corporation (4938.TW)	E (03/07/2022)	NT\$83.90
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$271.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb26.20
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb84.26
Unimicron (3037.TW)	E (04/15/2025)	NT\$106.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$116.50
Wiwynn Corp (6669.TW)	O (07/29/2024)	NT\$2,420.00
Yageo Corp. (2327.TW)	++	NT\$490.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$103.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$620.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$570.00
Catcher Technology (2474.TW)	E (05/22/2024)	NT\$210.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$374.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb18.93
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$60.60
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb20.91
Guangzhou Shiyuan Electronic Tech Co Ltd (002841.SZ)	E (10/28/2021)	Rmb33.02
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$156.00
HTC Corporation (2498.TW)	E (12/06/2023)	NT\$38.85
LandMark Optoelectronics Corporation (3081.TWO)	E (01/09/2025)	NT\$294.50
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb8.06
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$101.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb30.40
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$104.00

Tong Hsing (6271.TW)	E (03/18/2019)	NT\$111.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$103.50

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* Historical prices are not split adjusted.